



FEMA

Oct 22 2009

Mr. Lonnie G. Hoffer
Alternate Governor's Authorized Representative
Division of Homeland Security
North Dakota Department of Emergency Services
Post Office Box 5511
Bismarck, North Dakota 58506-5511

Re: Second Appeal—University of North Dakota, PA ID 000-92004-00,
Project Management Costs, FEMA-1174-DR-ND, Damage Survey Report (DSR) 41251

Dear Mr. Hoffer:

This letter is in response to your letter dated November 14, 2008, which transmitted the referenced second appeal on behalf of the University of North Dakota (Applicant). The Applicant is appealing the Department of Homeland Security's Federal Emergency Management Agency's (FEMA) denial of \$1,750,433 for project management contract costs.

A flood event in 1997 damaged numerous buildings at the University of North Dakota campus in Grand Forks. The Applicant requested funding to restore 79 buildings and replace the campus steam line. One month after the disaster declaration, the Applicant entered into a non-competitive time and materials contract with Barton Malow Company (BMC) for project management services for campus-wide restoration. Concurrent with disaster-related work, BMC was also working on other projects for the Applicant that were not disaster-related. In audit report DD-08-06, the Office of Inspector General (OIG) identified improper procurement procedures for award of the Applicant's contract for project management services. The audit report noted that the Applicant did not require the contractor to adequately support claimed costs. FEMA determined that it was not possible to separate eligible and ineligible costs based on the supporting documentation. Accordingly, FEMA denied \$3,005,823 for all contract costs the Applicant claimed for project management services from June 1997 through February 2002.

In a letter dated August 4, 2006, the Applicant submitted its first appeal requesting full reimbursement for its project management contract costs. The Applicant stated that it conducted interviews with two firms and that it did not solicit formal proposals due to limited resources and personnel following the disaster. The Applicant claimed that, at the time of the disaster, North Dakota statutes did not require proposals to obtain construction management services. In a letter dated July 16, 2008, the Regional Administrator determined that the Applicant did not procure the contract in accordance with Federal procurement standards. FEMA prepared an estimate of reasonable project management costs by applying a percentage of construction value, ranging from 3 percent to 6 percent, for each eligible project and obligated \$1,255,390 for project management services.

Lonnie G. Hoffer

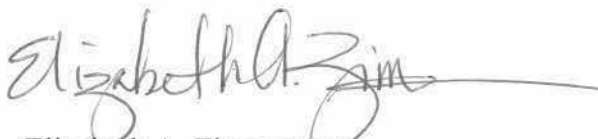
Page 2

In a letter dated October 24, 2008, the Applicant submitted its second appeal. In its second appeal, the Applicant submitted monthly invoices from BMC with spreadsheets reconciling costs for each invoice. The Applicant did not dispute the scope of work or cost estimate prepared by FEMA in response to the first appeal. The Applicant reiterated its claim for full reimbursement of contract costs.

Based on the review of all information submitted with the appeal, I have determined the Regional Administrator appropriately evaluated contract costs and provided reasonable reimbursement for project management services. The Regional Administrator's decision on this matter is consistent with program statute and regulations. Therefore, I am denying the second appeal.

Please inform the Applicant of my decision. This determination is the final decision on this matter pursuant to 44 CFR §206.206, **Appeals**.

Sincerely,

A handwritten signature in dark ink, appearing to read "Elizabeth A. Zimmerman", followed by a long horizontal flourish line.

Elizabeth A. Zimmerman
Assistant Administrator
Disaster Assistance Directorate

cc: Douglas A. Gore
Acting Regional Administrator
FEMA Region VIII